

NovaTech Logistics Pvt. Ltd.

Supply Chain & Freight Forwarding | 2026-W22 | Generated by: Risk Intelligence Unit

OVERALL RISK LEVEL

HIGH — 74/100

Escalating Geopolitical Tensions Threaten Key Trade Routes and Fuel Prices

The current week has seen a significant escalation in geopolitical conflicts, particularly in the Middle East with US-Iran tensions leading to strikes on critical ports like Bandar Abbas and concerns over the Strait of Hormuz. Concurrently, the Israel-Lebanon conflict has intensified, and the Russia-Ukraine war continues to impact Black Sea shipping. These events are directly contributing to increased operational risks, including potential port closures, vessel attacks, and a warning from India's Central Bank regarding an oil shock threatening economic growth. NovaTech Logistics faces heightened risks of supply chain disruptions, increased freight costs, and delivery delays across multiple key trade lanes.

● Key Performance Indicators

On-Time Delivery 78% -5%	Freight Cost Index 145 +8	Vendor SLA Breach 12% +3%
Customs Clearance Delay Avg 3.5 days +1.2 days	Inventory Buffer Days 28 days 0 days	Open Risk Tickets 47 +15

● Risk Factor Matrix

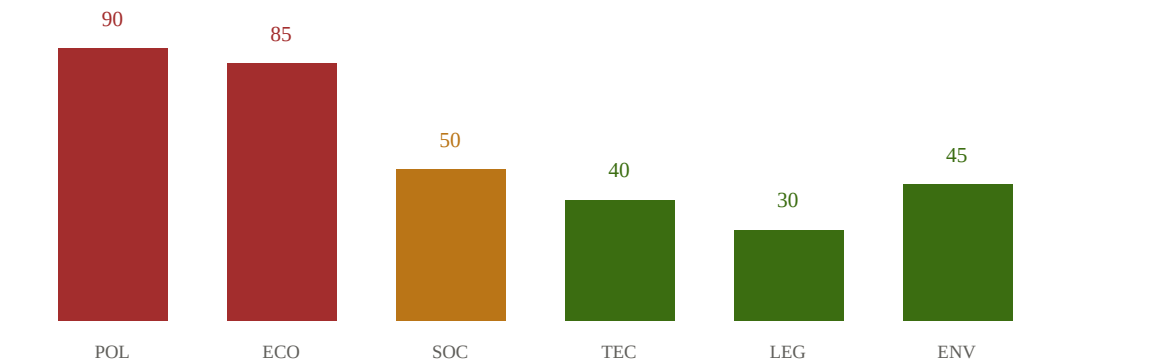
Risk Factor	Category	Velocity	Score	Bar
US-Iran Conflict & Strait of Hormuz Disruption	Operational	Rapid	74	
Israel-Lebanon Conflict Escalation	Operational	Rapid	74	
Global Oil Price Volatility & Supply Shock	Economic	Rapid	74	
Russia-Ukraine War & Black Sea Port Attacks	Operational	Moderate	70	
Port Labor Disputes (e.g., BHP Iron Ore Port)	Operational	Moderate	69	

● SWOT Analysis

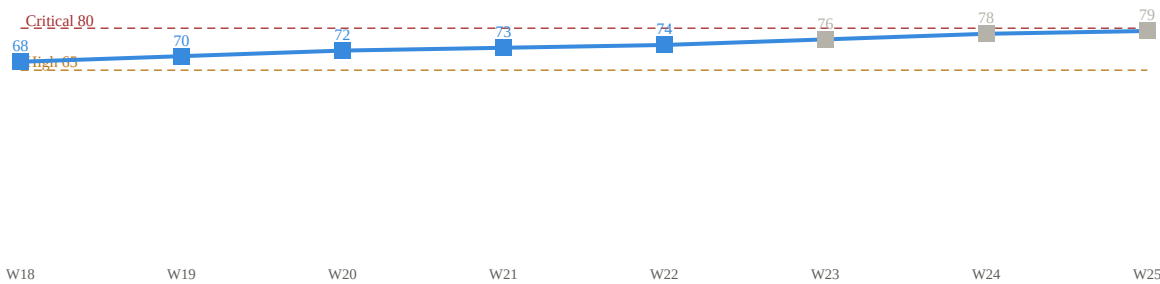
Strengths - Strong domestic network in India - Experience in navigating complex international logistics - Established relationships with diverse carriers	Weaknesses - Vulnerability to Middle East trade route disruptions - Potential over-reliance on specific port infrastructure - Exposure to volatile global fuel prices
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Opportunities - Diversify shipping routes and modes (e.g., rail, multi-modal) - Invest in advanced risk monitoring and predictive analytics - Expand presence in less volatile trade corridors	Threats - Prolonged closure of critical maritime chokepoints - Significant increase in insurance premiums and operational costs - Global economic slowdown impacting trade volumes - Cyberattacks targeting logistics infrastructure
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● PESTLE Risk Scores



● Predictive Risk Trajectory



● Mitigation Action Plan

Priorit y	Action	Owner	Deadline	Impact
HIGH	Diversify shipping routes away from high-risk zones (e.g., Strait of Hormuz, Black Sea) where feasible.	Operations Director	2026-06-30	Reduce direct exposure to geopolitical conflicts and chokepoint vulnerabilities.
HIGH	Increase inventory buffer days for critical components and high-value goods to absorb supply shocks.	Supply Chain Manager	2026-07-15	Mitigate the immediate impact of sudden supply disruptions and delays.
MEDI UM	Implement enhanced real-time cargo tracking and risk alert systems for all active shipments.	IT & Logistics Head	2026-09-30	Improve visibility, enable proactive decision-making, and faster response to incidents.
HIGH	Strengthen geopolitical intelligence gathering and scenario planning capabilities within the risk unit.	Risk Management Lead	Ongoing	Proactive identification of emerging threats and better preparedness for potential escalations.

MEDIUM	Review and update marine cargo insurance policies, specifically war risk clauses and coverage limits.	Legal & Finance	2026-06-20	Ensure adequate financial protection against losses incurred due to geopolitical events.
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● Event Tree Analysis

Initiating Event: Escalation of US-Iran Conflict in Persian Gulf

? Strait of Hormuz Closure	✓ YES (60%) Major Global Supply Chain Disruption, Severe Fuel Price Spikes, Rerouting via Cape of Good Hope	✗ NO (40%) Increased Shipping Costs, Heightened Security Measures, Minor Delays
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This report was auto-generated by the GSOC Risk Intelligence Platform for NovaTech Logistics Pvt. Ltd. on 29 May 2026. All risk scores are derived from public news sources, NLP models, and predictive algorithms. For internal use only.